Energy Wave

CONFIDENTIAL — DRAFT — FOR DISCUSSION · AMOUNT AND TERMS TBD · NO SAFE EXECUTED, NO FUNDING RAISED (FOUNDER, 15 OCT 2026)

The round the bridge is built to reach. Capital follows evidence.

Objective #3 of the capital-readiness bridge is “define measurable go / no-go criteria and prepare the next round.” This page is the structure of that round as the program documents already describe it. The amount, the pre-money and the instrument are the founder’s decisions with counsel and are TBD (founder, 15 Oct 2026); no SAFE has been executed and no funding has been raised.

WHAT THE SEED FUNDS

Period	Work	Decision at the end
Tranche A released at close	Gate 1 — Characterize. Commission the artifact-exclusion bench and publish its error budget (thread C); run the pre-registered replication of the strongest published claim (thread B); characterize the founder’s solid-state module — the lead research path (founder, 15 Oct 2026) — under exactly the same protocol (thread A). Hire the principal investigator — a condition of Tranche A, not an aspiration.	Gate-1 report, advisory-board certification, publication → Tranche B, or wind-down with unspent escrow returned.
Tranche B escrowed	Gate 2 — Conservation test. Closed-system calorimetry; mechanism discrimination against known-source models; independent replication at a second laboratory contracted before Gate 2 begins.	Gate-2 report → Tranche C, or the effect is retired publicly.
Tranche C escrowed	Gate 3 — Extract or retire. Engineering characterization, lifetime and stability, third-party validation; the anti-tamper paperweight test.	First public performance disclosure, or the program ends having answered the question.

> Tranches B and C are proposed to sit in escrow from the close — a structure not yet agreed; agent, agreement and bank are confirmed directly before close — released only on a written gate report, advisory-board certification and publication of the gate results. Investors receive the same report the public does. This converts “too early for us” — the objection the company has already heard from one fund — into a staged option: an investor underwrites Tranche A and a decision, not a three-year belief.

WHAT THE RAISE MODEL SAYS — AND WHAT IT DOES NOT

Figure	Value	Origin
36-month plan, Base scenario (model v1, Sept 2026 — a historical scenario, not a current budget)	$17.07M plan spend · $20.49M raise incl. 20% reserve	**Model output on placeholder inputs** — not a raise figure. Lean $14.44M / $17.33M; Full $20.92M / $25.11M.
Model v2 (Sept 11, 2026)	$19.68M base · $23.40M with the full engineering band	Model output on placeholder inputs; the v2 workbook is referenced by the September manifest and **not located** in the inventory.

Figure	Value	Origin
Gate months (model)	Gate 1 month 9 · Gate 2 month 21 · Gate 3 month 36	Placeholder inputs (Assumptions!B11–B13).
Largest single open input	Two theoretical-physicist consulting agreements modelled at $500k/yr *each*	Founder's wording was "a consultant agreement of half a million a year"; if that is $500k total, every headline number falls.
Tranche sizes	—	Withheld pending validation of the model assumptions and approval of the round. The workbook retains its original saved Base-scenario results, including cumulative need at each gate month; they have not been recalculated or independently validated for this package.

OPEN BEFORE THIS ROUND CAN BE DEFINED

- Amount, pre-money and instrument — **[TBD] — seed amount, pre-money and instrument** (founder, 15 Oct 2026). TBD
- Every placeholder in the raise model validated by finance: founder salary, engineer bases, rent, build-out, instrumentation package, precision additive-manufacturing system, insurance, recruiting; the $500k-each question. **[TBD] — validated inputs; budget owner**
- Escrow: agreement, agent and bank confirmed directly, release conditions, no fee to release — a proposed mechanism, not agreed. **[Pending: counsel — escrow structure]**
- General solicitation (506(b) vs 506(c)) answered before any deck reaches an investor who has not heard from the company. **[Pending: counsel — 506(b) or 506(c)]**
- Entity formed (K&L Gates is handling the entity work — founder, 15 Oct 2026); IP assigned in; consents on file (Jack Sarfatti's and Alan Crunkleton's roles are founder-confirmed, 15 Oct; no signed instrument; no outreach authorized); PI identified. OPEN
- Planned office: the UCI area near the National Fuel Cell Research Center — a founder-reported plan (15 Oct 2026); no lease, space, laboratory access or institutional agreement exists; site and terms **[TBD] — office site, lease and laboratory access** (register B-12).

ANCESTRY

The September 2026 Investor Overview (20 slides, DataRoom v1 DRAFT, SHA-256 ad53f314…2a31a) carried this gate-tranched structure with bracketed placeholders and is retained in this folder unedited as a historical draft; it is not for circulation. A 13-slide "Series A" deck of 11 Sept 2026 is referenced by the September manifest and not located.

Sources: Investor Overview slides 11–13, 17–19 (M-04); Financial_Status_2026-09-18 and Raise Model v1 README / Assumptions / UseOfFunds (M-02, M-03b); Program_Summary_and_Gates (M-03b); DECISIONS.md D1 (resolved — separate Seed folder; Capital Readiness originals preserved; may combine with Capital Readiness per the founder, 15 Oct 2026), D2, D12; founder decisions of 15 Oct 2026 (S-44).